

UNIT – 2: UNDERSTANDING BANKING PRODUCTS

Types of Bank Deposits

Banks offer several types of deposit accounts to meet different financial needs—daily transactions, long-term savings, recurring savings, or specialized accounts for investors and NRIs.

1. Savings Bank (SB) Account: A **Savings Account** is the most commonly used deposit account for individuals. It combines **safety, liquidity, and moderate interest**, making it suitable for everyday financial use. **Key Features:**

- **Interest Earnings:** Offers low but steady interest, credited periodically.
- **High Liquidity:** Money can be withdrawn anytime via ATM, UPI, cheque, or branch.
- **Tax Treatment:** No TDS deducted by bank; interest is taxable for the depositor.
- **Minor Accounts:** Minors can open accounts through guardians; minors above 10 years may get ATM card, cheque book, and internet banking.
- **Digital Access:** Supports ATM, mobile banking, net banking, and card payments.

Use Case: Ideal for daily financial needs, emergency funds, and short-term saving.

2. Basic Savings Bank Deposit Account (BSBDA): A BSBDA is a **zero-balance savings account** created to promote **financial inclusion**, ensuring that basic banking services are accessible to all individuals. **Key Features:**

- **Zero Minimum Balance:** Customers are not required to maintain any minimum balance. The account can operate even with a **zero balance**.
- **Open to All:** Individuals, including **minors (through guardians)**, can open this account.
- **Free Basic Services:** Banks provide a **free ATM/debit card**, passbook, and basic banking facilities such as deposits, withdrawals, and balance enquiries.
- **Limited Transactions:** There is a **limit on the number of withdrawals and deposits** allowed each month, as prescribed by RBI guidelines.
- **No Multiple Savings Accounts:** A person holding a BSBDA in a bank **cannot open another regular savings account** in the same bank to avoid duplication.
- **No Extra Charges:** Basic services are provided **without service fees**, making the account suitable for financially weaker sections.

Use Case: Useful for low-income individuals, students, or those needing a simple, no-frills bank account.

3. Fixed Deposit (FD) Account: A **Fixed Deposit** is a term-based deposit where money is locked for a fixed period at a predetermined interest rate. It is considered one of the safest investment options. **Key Features:**

- **Higher Interest:** Provides higher interest compared to savings accounts.
- **Fixed Tenure:** Ranges from 7 days to 10 years, varying by bank.

- **TDS on Interest:** TDS is deducted if annual interest exceeds the prescribed limit.
- **Senior Citizen Benefits:** Higher interest rates offered to senior citizens.
- **Premature Withdrawal:** Allowed with penalty, unless under special schemes.
- **Safe & Low Risk:** Popular for capital protection and predictable returns.

Use Case: Useful for medium- to long-term savings goals like **education, travel**, or building a safe emergency reserve.

4. Recurring Deposit (RD) Account: A **Recurring Deposit** allows customers to deposit a fixed amount every month for a chosen tenure. It encourages systematic savings and provides stable returns. **Key Features:**

- **Monthly Savings:** Fixed monthly instalments are deposited throughout the tenure.
- **Interest Earnings:** Interest is higher than a savings account, similar to FD rates.
- **TDS Applicable:** Deducted if interest crosses the taxable limit.
- **Flexible Tenure:** Ranges from 6 months to 10 years, depending on the bank.
- **Senior Citizen Benefits:** Higher interest rates may be provided.
- **Safe & Disciplined:** Encourages habit-forming monthly savings.

Use Case: Ideal for **salaried individuals, students**, or anyone building savings gradually for a future goal.

5. Special Bank Term Deposit Scheme (Tax-Saver FD): A tax-saving FD that provides deductions under **Section 80C** while offering stable returns. **Key Features:**

- **Tax Benefit:** Eligible for tax deduction up to ₹1.5 lakh under Section 80C.
- **5-Year Lock-In:** Mandatory lock-in period; funds cannot be withdrawn early.
- **No Loans/Premature Withdrawal:** Not allowed during lock-in.
- **Fixed Returns:** Interest rate fixed throughout the 5-year term.
- **Safe Instrument:** Fully backed by bank, making it secure and low-risk.

Use Case: Suitable for individuals seeking **safe, tax-saving investment options**.

6. Current Account: A **Current Account** is designed for businesses and organizations that require frequent, high-volume transactions. **Key Features:**

- **No Interest:** Generally no interest is paid on the balance.
- **Unlimited Transactions:** No restriction on deposits or withdrawals.
- **Overdraft Facility:** Allows withdrawal beyond available balance.
- **No Maturity:** Account stays active as long as the customer uses it.
- **Digital Banking Support:** NEFT, RTGS, IMPS, UPI, and net banking available.
- **Business Use:** Opened by companies, proprietors, firms, and institutions.

Use Case: Ideal for **businesses, traders, and organizations** handling large and frequent transactions.

7. DEMAT Account: A **DEMAT (Dematerialised) Account** is used to hold securities like shares, bonds, and mutual funds in electronic form. **Key Features:**

- **Electronic Storage:** Eliminates paper certificates; reduces risk of loss or damage.
- **Managed by Depositories:** Operated through **NSDL** and **CDSL**.
- **Easy Trading:** Allows quick buying and selling through online platforms.
- **KYC Required:** Mandatory PAN, Aadhaar, address proof, and photo.
- **Convenient Access:** Traders can monitor and transact from anywhere.

Use Case: Necessary for **investors and stock market traders** for seamless securities management.

8. NRI Account: Non-Resident Indians (NRIs) can open three types of bank accounts in India: **NRE (Non-Resident External)**, **NRO (Non-Resident Ordinary)**, and **FCNR (B) – Foreign Currency Non-Resident** accounts.

Who Qualifies as an NRI?

According to the **Income Tax Act, 1961**, an individual is considered an NRI if:

1. **Physical Stay Condition:**
 - Has stayed **outside India for at least 120 days in a year, and**
 - Has spent **less than 365 days in India in the previous 4 years.**
2. **Employment Clause:** If a person **leaves India for employment abroad**, NRI status applies **immediately**, regardless of days spent.
3. **Additional Condition (Union Budget 2020):** The revised rule states the person must have stayed in India for **less than 4 years out of the previous 10 years.**

Purpose of NRI Accounts:

- Manage income earned **in India or abroad**,
- Handle **investments, family expenses, and financial obligations** in India,
- Maintain funds safely while complying with RBI and tax rules.

Types of Income Allowed:

a. NRE (Non-Resident External) Account: Bank account that NRIs can open to hold their **foreign income** in **Indian rupees**. Money deposited into this account comes from the NRI's country of residence and is converted into INR at the prevailing exchange rate.

Key Points:

- Used to deposit **foreign earnings** only.
- Balance is held in **INR**, even though deposits come in foreign currency.
- Fully **repatriable**—funds can be freely transferred abroad.
- Interest earned is **tax-free** in India.

Example: Ms. Avantika works in Paris and sends **2000 Euros** monthly to her NRE account in India for her mother's expenses.

If **1 Euro = ₹80**, the deposit amount becomes: **2000 × 80 = ₹1,60,000**

This amount is credited to her NRE account in **Indian rupees**.

b. NRO (Non-Resident Ordinary) Account: Used by NRIs to manage **income earned within India**. Any domestic earnings such as **rent, dividends, pension, or interest** must be deposited into this account. The balance is always maintained in **Indian rupees (INR)**. **Key Points:**

- Used for **India-based income**, not foreign earnings.
- Held entirely in **INR**, with **no currency conversion** involved.
- Funds are **partially repatriable** as per RBI limits.
- Interest earned is **taxable** in India.

Example: Mr. Rahul, an NRI living in the USA, owns an apartment in Mumbai. The tenant, Mr. Arman, deposits monthly rent into Rahul's **NRO Account**. Since the income is earned in India, it must be credited **directly in INR** without any conversion.

c. FCNR (Foreign Currency Non-Resident) Account: A special type of **term deposit account** for NRIs where both the principal and interest are maintained in **foreign currency**. It protects the depositor from **exchange rate fluctuations**, making it ideal for NRIs who want to keep their foreign earnings in the same currency. **Key Points:**

- Deposits are made and maintained in **foreign currency** (USD, GBP, EUR, etc.).
- Can only be opened as a **fixed-term deposit** (not savings or current).
- Provides complete protection against **forex (exchange rate) risk**.
- Both **principal and interest are fully repatriable**.
- Interest earned is **tax-free** in India.

Example: If an NRI deposits **USD 5,000** into an FCNR account, the amount stays in **USD** throughout the deposit period.

At maturity, both the principal and interest can be withdrawn or transferred **in foreign currency itself**, with **no INR conversion** involved.

Process and Formalities for Opening Bank Accounts

1. Choose Account Type: Savings, Current, FD/RD, BSBDA, or NRI accounts depending on the customer's needs.

2. Fill Account Opening Form: Basic personal details, contact information, nominee, and signature are collected (online or offline).

3. Submit KYC Documents: Mandatory documents as per RBI rules:

- **Proof of Identity:** Aadhaar, PAN, Passport, Voter ID
- **Proof of Address:** Aadhaar, Passport, Utility Bill, Rent Agreement
- **PAN** (or Form 60 if PAN not available)

4. Verification: Bank performs **In-Person Verification (IPV)** or **Aadhaar e-KYC / Video KYC**.

5. Initial Deposit: Some accounts require a minimum balance; BSBDA does not.

6. Account Activation: Bank issues **Account Number, Passbook, Debit Card**, and login details for **net banking** and **mobile banking**.

Overview of KYC Norms: KYC (Know Your Customer) is a mandatory RBI process to verify identity and address, preventing fraud, money laundering, and fake accounts.

Purpose of KYC

- Verify customer identity
- Ensure secure banking
- Comply with RBI's anti-money laundering rules

Components of KYC

- **Identity Proof** (Aadhaar, PAN, Passport)
- **Address Proof** (Aadhaar, Voter ID, utility bill)
- **Photograph & Signature**

Types of KYC

- **Full KYC:** Complete verification; no transaction limits
 - **Small Account (Limited KYC):** Limited deposits/withdrawals until full KYC
 - **Video KYC:** Verification through a live video call
-

Types of Loans

1. Personal Loan: A **Personal Loan** is an unsecured credit facility that allows individuals to borrow money without providing any collateral. It is mainly used to meet urgent or planned personal expenses and offers quick approval based on the borrower's income and credit history. **Key Features:**

- Can be used for any purpose such as medical bills, marriage expenses, travel, home appliances, or debt repayment.
- No collateral or security is required.
- Approval depends mainly on income stability and CIBIL score.
- Tenure is usually between 1–5 years.
- Interest rates are higher because the loan is unsecured.

2. Vehicle Loan: A **Vehicle Loan** is a secured loan that enables individuals to purchase new or second-hand vehicles. The vehicle acts as collateral, and the loan helps customers spread the cost of purchasing a vehicle over a fixed repayment period.

Key Features:

- Issued for buying two-wheelers, four-wheelers, or commercial vehicles.
- The vehicle itself is collateral, making it a secured loan.
- Tenure generally ranges from 1–7 years.
- Lower interest compared to personal loans.

3. Education Loan: An **Education Loan** provides financial assistance to students to pursue higher studies in India or abroad. It covers academic and living expenses, ensuring that students can access quality education without immediate financial burden. **Key Features:**

- Covers tuition fees, hostel charges, books, and other educational expenses.
- Students must have a confirmed admission into an educational institution before applying.
- May require a co-applicant such as a parent or guardian.
- Repayment typically starts after the course completion (moratorium period).
- Interest rates are moderate, with special concessions for female students or premier institutions.

4. Gold Loan: A **Gold Loan** is a secured loan where individuals pledge their gold ornaments or coins to obtain short-term funds. It is one of the fastest ways to get money, as approval is quick and requires minimal paperwork. **Key Features:**

- Loan is given only against gold as collateral.
- Quick approval and minimal documentation.
- Loan amount depends on the value of the gold.
- Interest rates are lower than unsecured loans.
- Borrower gets back the gold after paying the loan in full.

5. Housing Loan: A **Housing Loan** (Home Loan) is a long-term secured loan offered for purchasing, constructing, or renovating residential property. It offers large loan amounts and affordable interest rates, making home ownership accessible. **Key Features:**

- Taken for buying a house, constructing a home, home renovation, home extension, or purchasing land/property.
- Secured loan where the property is mortgaged to the bank.
- Offers long repayment tenures (up to 20–30 years).
- Lower interest rates compared to most loans.

Digital Banking and Electronic Payment Methods

Digital banking refers to the delivery of banking services through electronic channels such as mobile apps, internet banking, ATMs, and digital payment systems.

1. Cashless Transactions: Cashless transactions are payments made **without physical cash**, using digital methods such as cards, UPI, mobile wallets, net banking, and electronic fund transfers. They promote convenience, transparency, and faster payments. **Key Features:**

- Eliminates the need to carry cash
- Reduces risk of theft and counterfeit money
- Provides instant or quick settlement
- Supports QR codes, NFC, cards, and online payments

Limitation: Dependence on internet connectivity and digital infrastructure may affect usage in remote or low-network areas.

Use Case: Paying at shops using UPI, scanning QR codes at restaurants, online shopping, bill payments, metro or bus ticketing.

2. Net Banking: Net Banking is an online facility provided by banks that allows customers to access their accounts and perform banking operations through the bank's official website.

2.1 NEFT (National Electronic Funds Transfer): NEFT is an electronic payment system that enables fund transfers from one bank account to another across India. Transfers are processed in **half-hourly batches**, and the service is available **24×7**, including holidays. It is widely used for routine payments and is supported by almost all banks.

Key Features:

- **No minimum or maximum limit**, suitable for small and large payments.
- Funds are credited in the **next available batch**, usually within minutes.
- Requires **account number and IFSC code** of the beneficiary.
- Safe, reliable, and regulated by the **Reserve Bank of India (RBI)**.
- Ideal for recurring or regular payments.

Limitation: Since transactions are processed in batches, money may not transfer instantly.

Use Case: Used for monthly rent, school or college fees, vendor payments, and utility bill payments.

2.2 RTGS (Real Time Gross Settlement): RTGS is a payment mechanism used for **high-value, time-critical** transactions. Funds are settled **immediately (real-time)** and **individually (gross settlement)**, meaning each transaction is processed separately rather than in batches. **Key Features:**

- Minimum transfer amount is **₹2 lakh**; no upper limit.
- Transactions are processed instantly and continuously.
- Preferred for large financial transfers requiring speed and safety.
- Irreversible once processed, reducing settlement risk.
- Used widely by businesses and institutions.

Limitation: Not suitable for small or routine payments due to the high minimum limit.

Use Case: Used for property purchases, high-value business transfers, corporate payments, and urgent settlements.

2.3 IMPS (Immediate Payment Service): IMPS is a fast electronic transfer system that enables instant fund transfers **24×7**, including Sundays and bank holidays. It provides immediate credit and is often used for urgent or everyday transactions. **Key Features:**

- **Instant** transfer within seconds.
- Works using **mobile number + MMID**, or **account number + IFSC**.
- Available across banks, mobile apps, and ATMs.

- Supports both person-to-person and person-to-merchant payments.
- Convenient for small or emergency transfers.

Limitation: The maximum transfer limit depends on the bank, usually between ₹2–5 lakh.

Use Case: Used for emergencies, quick family transfers, paying small businesses, or sending money outside weekday banking hours.

3. Unified Payments Interface (UPI): UPI is a real-time digital payment system developed by NPCI that enables instant bank-to-bank transfers through a mobile app using a **UPI ID, QR code, or mobile number**. **Key Features:**

- Instant, 24×7 transfers
- No need for bank details—only UPI ID or QR
- Supports P2P (person-to-person) and P2M (merchant) payments
- Highly secure through UPI PIN and device verification
- Works across all banks and apps

Limitation: Transactions require smartphone access and stable internet.

Use Case: Paying shops via QR, splitting bills with friends, online shopping, recharge, bill payments.

4. ATM Services (Automated Teller Machine): An ATM is an electronic self-service machine that enables customers to perform basic banking activities without visiting a bank branch. **Key Features:**

- Cash withdrawal
- Balance enquiry and mini statement
- PIN generation and change
- Cash and cheque deposits (at CDMs)
- Fund transfer between linked accounts

Limitation: Daily withdrawal limits apply; network or machine issues may interrupt service.

Use Case: Withdrawing cash, checking balance during travel, depositing cash via CDM.

Debit Cards, Credit Cards, and the Role of CIBIL

1. Debit Cards: A **debit card** is a payment card linked directly to a customer's **savings or current account**. When the card is used, money is **immediately deducted** from the bank account. **Key Features:**

- Linked to the customer's **bank account balance**
- Used for **ATM withdrawals**, POS purchases, and online payments
- Requires a **PIN** or **OTP** for secure transactions
- No interest or repayment required since money is deducted instantly
- Widely accepted across ATMs, shops, and e-commerce platforms

Limitation: Transactions are limited by the **available account balance**; cannot be used for borrowing or credit.

Use Case: Daily shopping, ATM cash withdrawal, bill payments, online transactions without using cash.

2. Credit Cards: A **credit card** is a payment card that allows users to **borrow money** from the bank up to a preset limit for making payments. The borrowed amount must be repaid later, either in full or through monthly EMIs. Interest is charged only if dues are not fully paid by the due date. **Key Features:**

- Provides a **credit limit** based on income and credit score
- Offers **interest-free credit** for 30–45 days (grace period)
- Suitable for both offline and online purchases
- Allows EMI conversion for large purchases
- Comes with benefits like rewards, cashback, lounge access, and insurance

Limitation: If dues are not paid on time, high interest charges and late fees apply; can lead to debt if misused.

Use Case: Emergency expenses, online shopping, travel bookings, and large purchases paid later or through EMI.

3. Role of CIBIL (Credit Information Bureau India Limited): CIBIL is India's **credit information company** which prepares a **CIBIL Score** and **Credit Report** based on past loan repayment behaviour. Banks use this score to decide whether to approve loans or credit cards.

3.1 CIBIL Score: The **CIBIL Score** is a **3-digit number (300–900)** that reflects a person's creditworthiness.

- **750 & above** → Excellent, easily approved
- **650–749** → Good, moderate approval chances
- **550–649** → Average, high scrutiny
- **Below 550** → Poor, loans often rejected

Factors Affecting CIBIL Score:

- Timely repayment of loans and credit card bills
- Number of existing loans and credit limits
- Credit utilization (how much of the limit is used)
- Loan defaults or delays
- Length of credit history

3.2 Importance of CIBIL for Banks:

- Evaluate loan applicants
- Check borrower reliability
- Set **interest rates** based on credit risk
- Decide credit card limits

India's Banking Structure

The **Banking System in India** refers to the organized network of financial institutions that accept deposits, provide loans, facilitate payments, and offer a wide range of financial services.

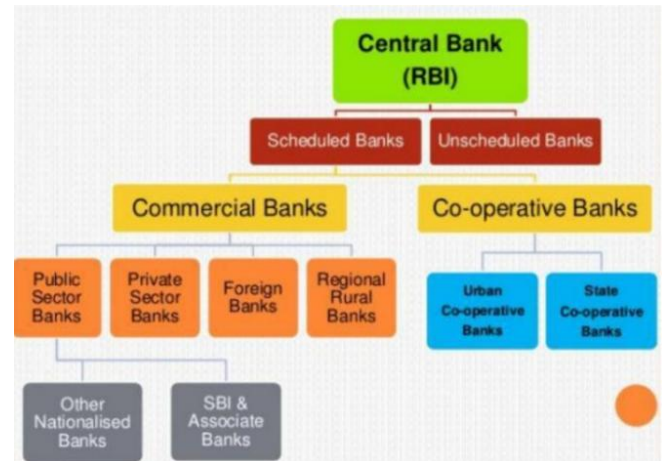
India's banking structure is regulated and supervised by the **Reserve Bank of India (RBI)**, the country's central bank.

Classification of Banks in India

The Indian banking system is broadly classified into:

1. **Scheduled Banks**
2. **Non-Scheduled Banks**

This classification is based on whether a bank is included in the **Second Schedule of the RBI Act, 1934**.



Scheduled Banks: Scheduled Banks are those financial institutions that are **listed in the Second Schedule of the RBI Act, 1934**. Being listed indicates that the bank meets specific criteria and is eligible for certain privileges provided by the RBI.

Eligibility Criteria: A bank must satisfy **both** conditions to be classified as a Scheduled Bank:

1. **Minimum paid-up capital and reserves of ₹5 lakh** or more.
2. The bank's operations should **not be detrimental** to the interests of depositors.

If a bank fails to meet these conditions, the RBI can **remove it from the schedule**.

Benefits of Being a Scheduled Bank

- **Eligibility for RBI loans** at the bank rate.
- **Automatic membership** of the **Clearing House**, enabling efficient cheque and fund settlement.
- **Access to rediscounting** of first-class exchange bills from RBI.
- Considered financially stable and trustworthy.

Types of Scheduled Banks: Scheduled banks are further classified into:

A. Commercial Banks: These banks operate on a commercial basis and are the backbone of India's financial system.

They include:

- **Public Sector Banks** (e.g., SBI, Bank of Baroda, PNB)
- **Private Sector Banks** (e.g., HDFC Bank, ICICI Bank, Kotak Mahindra Bank)
- **Foreign Banks** (e.g., Citi Bank, HSBC, Standard Chartered)
- **Regional Rural Banks (RRBs)**
- **SBI & its associate banks (earlier)**

B. Co-operative Banks: These operate on cooperative principles and include:

- **Urban Co-operative Banks**
- **State Co-operative Banks**

Non-Scheduled Banks: Non-Scheduled Banks are financial institutions **not listed** in the Second Schedule of the RBI Act, 1934. They are smaller in size and operate on a limited scale. **Characteristics:**

- No fixed capital requirement prescribed.
- Must maintain **Cash Reserve Ratio (CRR)** with themselves (not with RBI).
- Do **not** get the privileges offered to Scheduled Banks.
- Not eligible for membership in the Clearing House.
- Cannot receive regular borrowings from RBI; can borrow only under **emergency conditions**.
- Considered **riskier** compared to Scheduled Banks.

Examples: Only a few banks fall under this category, such as certain **Local Area Banks (LABs)** and some **Urban Co-operative Banks (UCBs)**.

Basis	Scheduled Banks	Non-Scheduled Banks
Meaning	Listed in Second Schedule of RBI Act	Not listed in the schedule
Capital Requirement	Minimum ₹5 lakh paid-up capital	No fixed criteria
Regulation	Maintain CRR with RBI; file periodic returns	Maintain CRR with themselves; no periodic return requirement
Privileges	Can borrow from RBI, clearinghouse membership, rediscounting facility	Limited privileges; cannot borrow regularly
Risk Level	More stable and safe	Relatively riskier
Examples	Public, Private, RRBs, Foreign Banks	Local Area Banks, some UCBs

Banks	NBFCs
Can accept demand deposits	Cannot accept demand deposits
Part of payment/settlement system	Not part of settlement system
Deposits insured by DICGC	No deposit insurance
Regulated by Banking Regulation Act, 1949	Regulated by Companies Act, 1956
Must maintain CRR/SLR	No requirement of CRR/SLR
Examples: SBI, HDFC	Bajaj Finance, Muthoot Finance

Role of Reserve Bank of India (RBI):

1. Monetary Authority: RBI formulates and implements India's **monetary policy** to regulate money supply and interest rates.

Its main goal is to control inflation while supporting economic growth.

Tools include repo rate, reverse repo, CRR, SLR, and open market operations.

2. Regulator and Supervisor of the Financial System: RBI sets rules for banks and financial institutions to maintain a safe and stable banking environment.

It ensures banks follow guidelines, manage risks properly, and protect depositors' interests.

3. Issuer of Currency: RBI has the exclusive authority to issue and manage currency notes in India. It ensures the supply of clean, genuine, and adequate currency across the country. RBI also withdraws damaged notes and protects the economy from counterfeit money.

4. Regulator of Payment and Settlement Systems: RBI oversees and upgrades India's electronic payment systems such as NEFT, RTGS, IMPS, and UPI.

Its aim is to ensure that digital payment methods are efficient, secure, and accessible to the public.

5. Banker to the Government: RBI manages the banking operations of the Central and State Governments. It handles government receipts, payments, budgeting, and public debt. RBI also acts as the government's financial advisor during economic planning.

6. Banker's Bank: RBI maintains the cash reserves of all scheduled banks and provides them with loans and financial support. It settles inter-bank transactions and acts as a "lender of last resort" in times of crisis.
